

Fearnleys Dry Bulk Market Outlook

Mar 7, 2025

Bernhard Baardson

SUMMARY AND OUTLOOK

In our previous report published in January, we wrote the following

The fundamental outlook for 2025 remains bearish in our view. There are no clear signs yet that China's recent stimulus announcements are translating into higher credit growth. Next month's release of the January lending numbers will be important in this respect, as that is when lending figures are the highest. Should that figure be at record high one can perhaps start counting down to when a recovery will take hold, but in any case, there is always a lag until it impacts dry bulk markets. Manufacturing activity in the World ex-China remains dull, with all PMIs hovering around 50 and most countries' readings below 50. These readings are likely to remain around 50 at best as long as China's growth is low, the dollar remains strong and interest rates remain relatively high.

Link to the January report: <https://fearnpulse.com/drybulk-report/fearnleys-dry-bulk-market-outlook-january-2025>.

China's total social financing numbers came in at an all-time high of 7 trillion Yuan in January. The growth rate we calculate remains negative, so one needs to see a few more months of strong financing data before the growth rate turns up - which in turn would paint a more bullish picture for dry bulk markets going forward. Given the 9 to 15-month lag before increasing or decreasing financing growth impacts dry bulk markets, it is still unlikely that stimulus measures will have any significant effect this year, however.

Nonetheless, China's steel and iron ore markets are not performing badly so far this year. Blast furnace output and imported iron ore consumption are both higher than the same period last year, the iron ore price has climbed steadily the last months, and steel prices have remained stable. However, inventories of iron ore in ports and at steel mills are higher than in the same period last year by about 20 million tons.

Notwithstanding a relatively good start to the year demand-wise, growth for the full year is likely to be low at best, considering that the mentioned stimulus measures are not yet going strongly. A few weeks ago, it was also reported by several reliable sources that there will be steel output curbs at some point this year, seeing as the steel industry has struggled with low or negative profitability the last year.

The big downside risk from China's demand this year is not iron ore, though; it is coal. Since the middle of 2021, inventories have been built massively, from 100 million tons to 700 million tons, as energy security became a strong priority. Increased domestic production and record import levels drove the inventory accumulation, but that now seems to be at an end. Coal imports are already negative year on year (- 4% through February), and there have been recurring reports over the last weeks that some importers will stop purchasing on a spot basis within the next months. These reports are not confirmed, but it does not seem entirely unlikely, considering the fundamental picture.

In the rest of the World, excluding China, fundamentals are not strong either. The weakest spot remains Europe, where the manufacturing sector has been in recession since the middle of 2022. The push towards greener sources of power has caused the demand for coal to drop and electricity prices to rise, rendering the manufacturing sector less competitive. Other developed countries like Japan, Korea, and Taiwan have also seen the demand for dry bulk imports decline since 2021/22.

There is unlikely to be any significant cyclical upturn in developed economies dry bulk imports until interest rates are cut and inflation is under control. The former depends on the US, both in terms of the interest rate levels there but also in terms of the dollar exchange rate. A strong dollar makes it harder for countries ex-US to loosen monetary policy, and also reflects a scarcity of dollars, which means trade financing can be harder to obtain. The year-on-year change of a broad USD index has therefore correlated tightly with the year-on-year change of dry bulk shipment volumes the last 10 years in that a stronger dollar means weaker global demand and vice versa.

Emerging economies (LATAM, Africa, SEA, ME, India) usually see dry bulk demand increase every year, but the weakness in China plus developed economies could mean growth will be hampered in emerging economies this year. In Q4 last year, India's growth slowed abruptly, for example.

So, as outlined in our previous report, we find it hard to see what factors will cause demand to grow strongly this year.

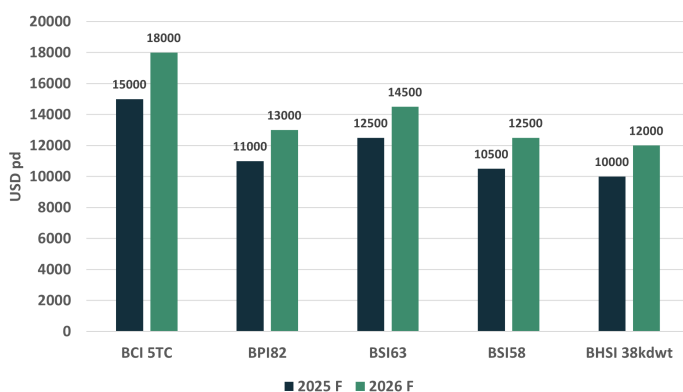
Summing it all up, we think the demand picture looks weaker than in 2023, and we therefore assume in our earnings estimates that this year will end up averaging lower than that year.

It might all turn through the course of 2026, however. China's stimulus measures, further global interest rate cuts, a potentially weaker USD exchange rate, lower fleet growth, and cycle duration analysis suggest that markets will improve in 2026 and 2027. We think the cycle will bottom in Q4 this year at the earliest and Q2 2026 at the latest.

The political landscape is at its most uncertain in decades. In general, we see the ongoing conflicts as having a small direct impact on the dry bulk markets. The secondary effects could be more significant. Below are some thoughts on each major ongoing "issue".

- Trump's tariff policies: Small direct impact on dry bulk markets as the volumes in question are not significant. The negative secondary effect is that the broader macroeconomic situation could worsen further (stock markets are certainly not appreciating Trump's policies). The positive secondary effect could be a weaker dollar (the USD seems to be weakening each time tariffs hit the news), which usually is positive for dry bulk demand growth. Positives could thus come from the negatives, as a potential US economic downturn could lead to lower rates and a weaker Dollar, which would allow the rest of the World to cut interest rates further.
- The war in Ukraine: A continuation of the standstill means Russia's coal exports are likely to decline further due to sanctions and constraints to railway capacity. In the event of peace, Russia's coal exports are likely to rise (the development of sanctions would still be unknown, but the railway capacity would increase), and there would be added commodity demand for the rebuilding of Ukraine. If the war escalates further, the consequences are unknown.
- Israel vs Iran and Proxies: As it stands, the transits through the Suez Canal will continue to be lower than usual. This has been a positive factor for the markets, but probably not as positive as many had thought it could be. Europe's demand has been weak the last year and a half, and exports from the Black Sea, Med, and North Atlantic to the Middle East or India became more costly, which impacted volumes negatively. So, a potential full reopening of the canal would not necessarily be bearish for the dry bulk markets. A potential escalation of hostilities in the Middle East would risk a spike in the oil price and a consequent worsening of global economic growth. The dry bulk volumes in the Middle East are too small to make a direct impact on the markets.
- US penalization of Chinese-built ships: It is still uncertain whether the proposed regulations will be implemented. Should it happen, the market balance per se would not be affected, but it would be very disruptive from an operational perspective. Non-Chinese built vessels could benefit, and Chinese built vessels could be at a disadvantage. In the end, after a period of adjustment, it would end up being a tax on the US consumer which in turn is negative for global economic growth.

Earnings Forecasts



Dry Bulk Shipment Volume Growth vs Supply Growth (All Segments)



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SUPPLY OUTLOOK

Total fleet statistics

2024 Deliveries: 32.0 million DWT
2024 Scrapping: 3.3 million DWT
2024 Year-on-Year Fleet Growth: 3.2%

YTD 2025 Deliveries: 5.8 million DWT
YTD 2025 Scrapping: 0.98 million DWT

Remaining on schedule for 2025 delivery: 28.9 million DWT

Fleet statistics per segment.

Handysize

2024 Deliveries: 5.3 million DWT
2024 Scrapping: 1.1 million DWT
2024 Year-on-Year Fleet Growth: 3.0%

YTD 2025 Deliveries: 1.08 million DWT
YTD 2025 Scrapping: 0.136 million DWT

Remaining on schedule for 2025 delivery: 4.15 million DWT

Supramax/Ultramax

2024 Deliveries: 10.2 million DWT
2024 Scrapping: 0
2024 Year-on-Year Fleet Growth: 5.0%

YTD 2025 Deliveries: 2.25 million DWT
YTD 2025 Scrapping:

Remaining on schedule for 2025 delivery: 9.7 million DWT

Panamax/Kamsarmax

2024 Deliveries: 8.8 million DWT
2024 Scrapping: 1.4 million DWT
2024 Year on Year Fleet Growth: 3.0%

YTD 2025 Deliveries: 1.3 million DWT
YTD 2025 Scrapping: 0.431 million DWT

Remaining on schedule for 2025 delivery: 8.6 million DWT

Capesize/Newcastlemax

2024 Deliveries: 7.7 million DWT
2024 Scrapping: 0.7 million DWT
2024 Year-on-Year Fleet Growth: 1.9%

YTD 2025 Deliveries: 1.2 million DWT
YTD 2025 Scrapping: 0.323 million DWT



Remaining on schedule for 2025 delivery: 6.4 million DWT

Orderbook to Existing Fleet Ratios (in DWT terms)

Total Fleet:	9.6%
VLOC:	6.0%
Capesize/Newcastlemax:	7.6%
Panamax/Kamsarmax:	11.4%
Supramax/Ultramax:	12.0%
Handysize 25-50kdwt	8.3%

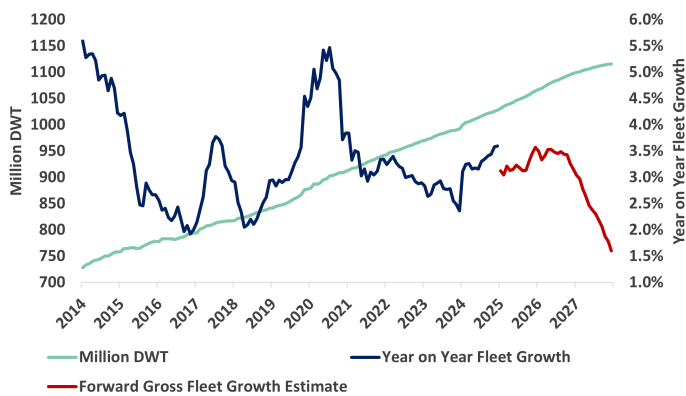
Total fleet growth estimates

2025: About 3.0%

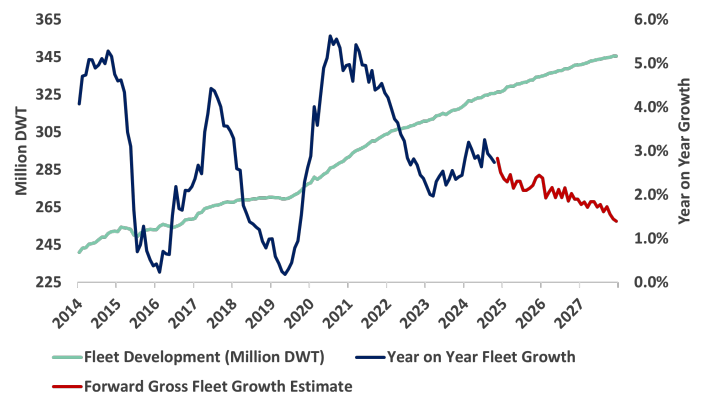
2026: About 2.0%

Fleet Growth and Forward Gross Estimates

Total Fleet Growth Including Estimate



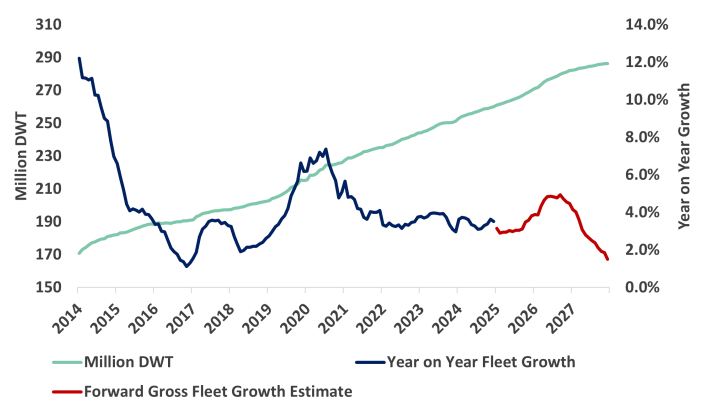
Cape/Newc Fleet Growth Including Estimate



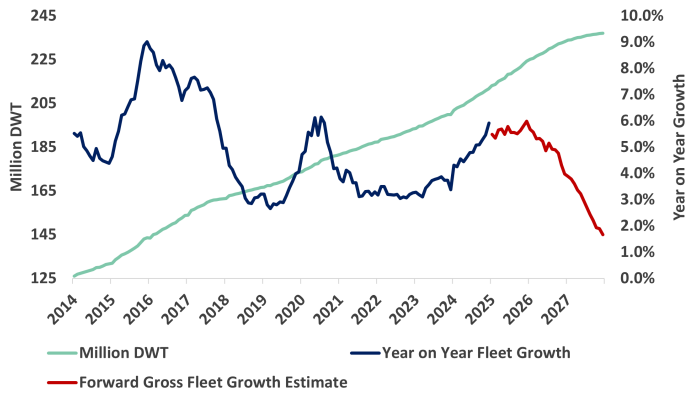
VLOC Fleet Growth Including Estimate



Panamax/Kamsarmax Fleet Growth Including Estimate



Supramax/Ultramax Fleet Growth Including Estimate



Handysize Fleet Growth Including Estimate



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PERIOD RATES AND ASSET VALUES

The correlation between 1-year time charter rates and second-hand values still suggests that either values have to fall, or that 1-year time charter rates have to rise.

Capesize:

A 10-year-old vessel has to fall to the mid-30 million, or the 1-year-TC rate has to rise to the mid twenty thousands.

Kamsarmax:

A 10-year-old vessel has to fall to the high teens, or the 1-year-TC rate has to rise to the high teens.

Supramax:

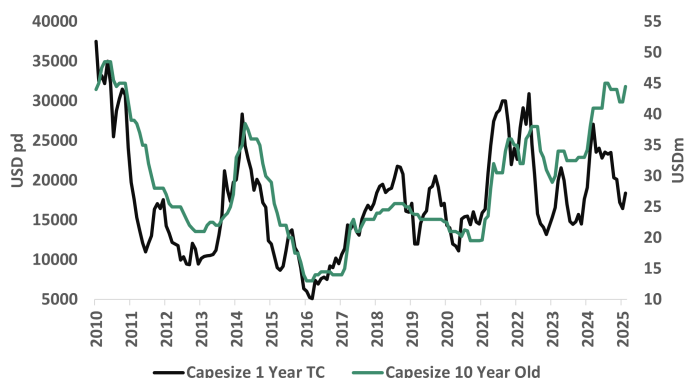
A 10-year-old vessel has to fall to the high teens, or the 1-year-TC rate has to rise to the high teens.

Handysize:

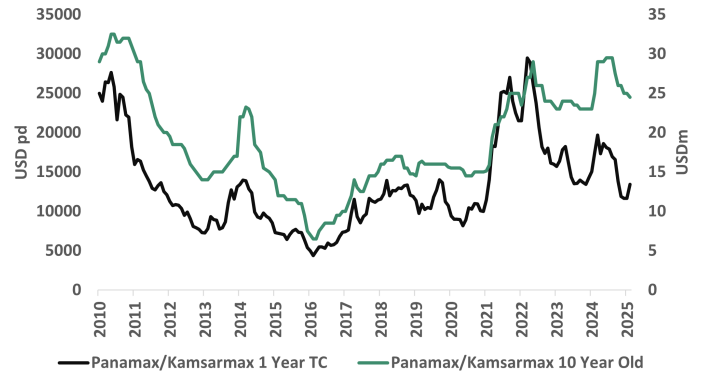
A 10-year-old vessel has to fall to the mid-teens, or the 1-year-TC rate has to rise to the mid teens.

Asset Values vs Period Rates

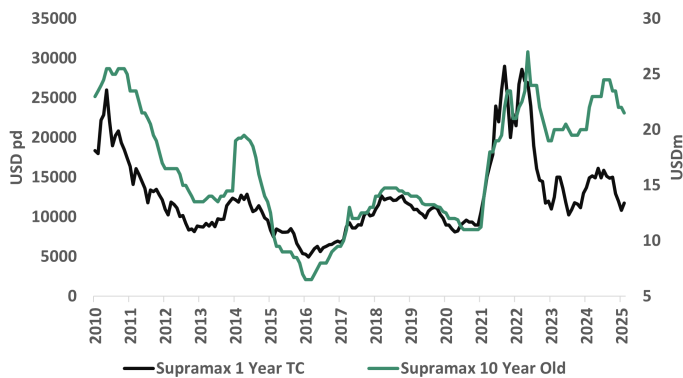
Capesize 1 Year TC vs Capesize 10 Year Old



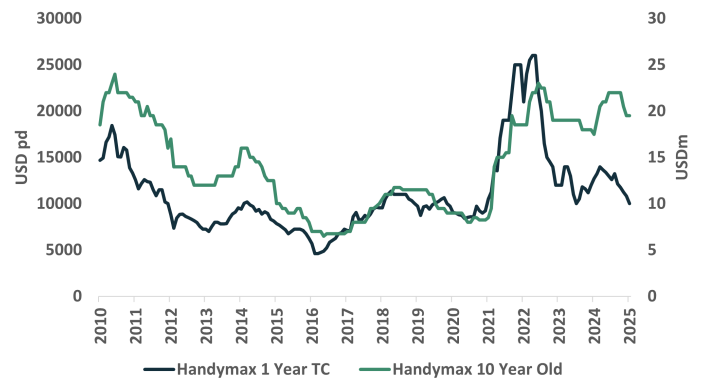
Panamax/Kamsarmax 1 Year TC vs Panamax/Kamsarmax 10 Year Old



Supramax 1 Year TC vs Supramax 10 Year Old



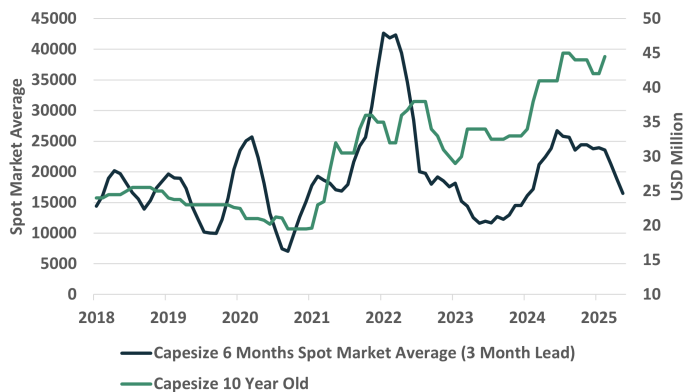
Handysize 1 Year TC vs Handysize 10 Year Old



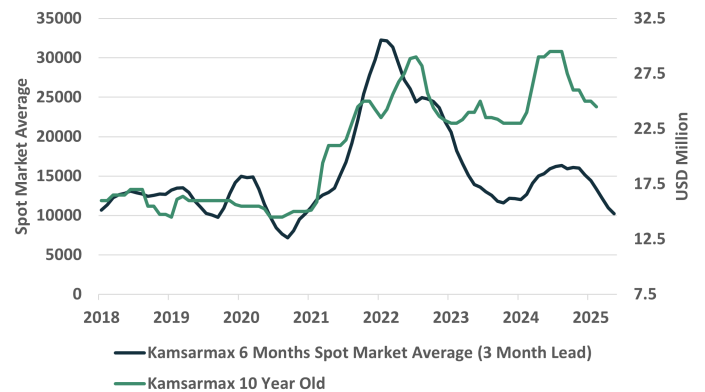
Fearnleys

Asset Values vs Spot Earnings Averages

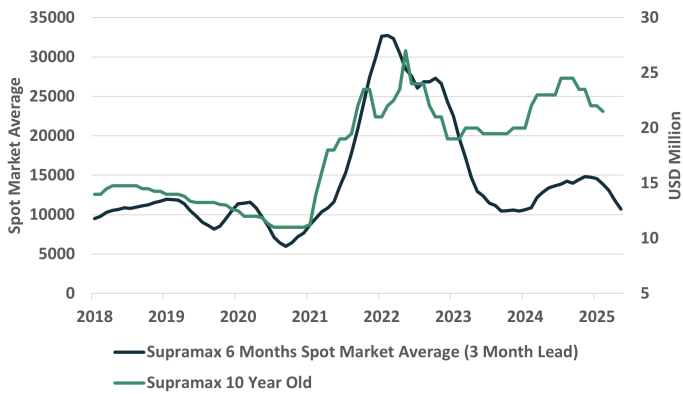
Capesize 6 Months Spot Market Average (Moved 3 Months Forward) vs Capesize 10 Year Old



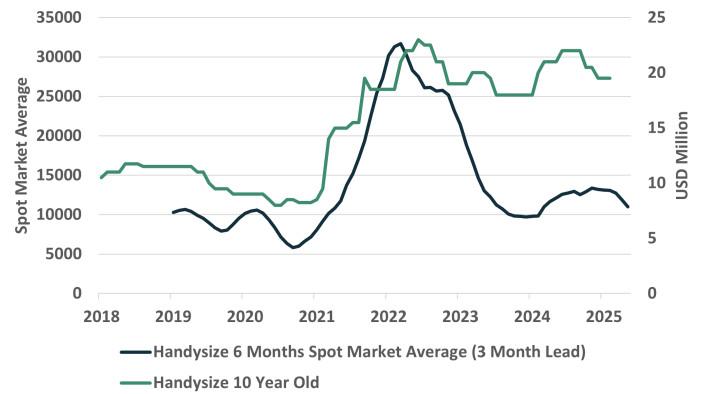
Kamsarmax 6 Months Spot Market Average (Moved 3 Months Forward) vs Kamsarmax 10 Year Old



Supramax 6 Months Spot Market Average (Moved 3 Months Forward) vs Supramax 10 Year Old



Handysize 6 Months Spot Market Average (Moved 3 Months Forward) vs Handysize 10 Year Old

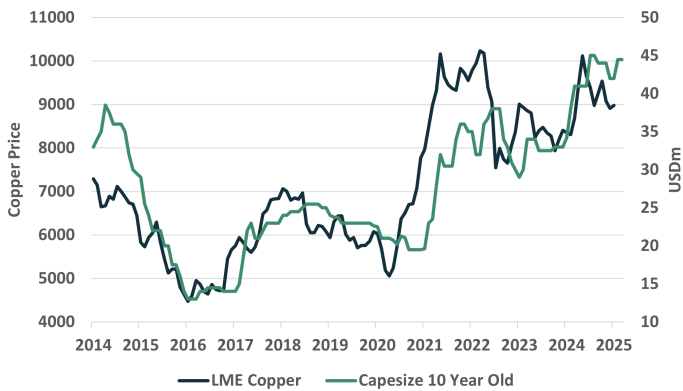


Baltic Exchange, Fearnleys

Asset Values vs Commodity Prices

Industrial metal prices often precede the change in second-hand values by around six months. The charts below display the price of copper against second-hand values since 2014. The correlation is high because the price of copper is a barometer of industrial activity and also reflects inflationary or deflationary periods.

Copper Price vs Capesize 10 Year Old



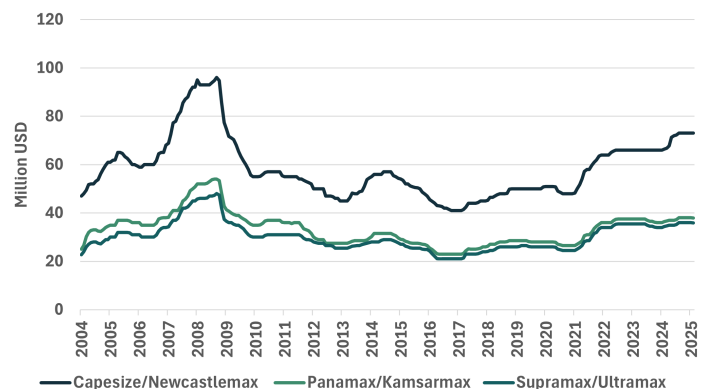
Copper Price vs Kamsarmax 10 Year Old



Copper Price vs Supramax 10 Year Old



Dry Bulk Newbuilding Prices



S&P Global, FRED, Fearnleys

TRADE FLOWS

Jan-Feb 2025 vs Jan-Feb 2024 Trade Flow Statistics

Iron Ore

Exports

Australia: -4.9%

Brazil: -2.1%

Canada: -5.1%

India: -51.5%

South Africa: -1.6%

Total Exports: -4.0%

Imports

China: -9.1%

World ex-China: 5.1%

In our December report, we wrote the following:

Next year, we do not see much potential for growth in iron ore import demand. Port inventories in China are close to the highest level in the last 10 years, with high-grade inventories making up most of it. Imported iron ore consumption in China is 3.2% lower than in the same period last year, so even if the stimulus measures work immediately there is a gap to 2023 levels that needs to recover.

Manufacturing in the world, excluding China, seems too weak to expect much growth, with recent layoff announcements in the German industry as one clear signal. PMI readings are below 50 in over half of the countries included in the surveys by Markit.

Through February, China's iron ore imports are lower than the same period last year. Imported iron ore consumption has been higher on a year-on-year basis since late November, but the higher inventories weigh on import demand. However, the January- February imports were also affected by supply issues in Australia and more rain in Brazil than last year. We expect the year-on-year import growth rate to rise in the coming months.

The World ex-China's imports are up year on year through February, but that reflects monthly volatility rather than significantly improving fundamentals. We expect the 5% year-on-year import growth rate to come down in the coming months.

Coal

Exports

Australia: -15.4%

Canada: -1.7%

Colombia: -15.3%

Indonesia: -3.5%

Russia: -11.4%

South Africa: 2.3%

USA: -1.5%

Total Exports: -6.3%

Imports

China: -3.4%
India: -8.7%
South East Asia: 14.0%
Europe and Med: -6.8%
South America: 1.8%
Japan: 6.6%
Korea: -20.1%

Coal market fundamentals are weak. Import demand is significantly weaker in China and India, with reports of some companies in China set to halt imports this spring. India's demand is weighed down by a weakening macroeconomic backdrop and higher domestic production.

India's import demand is not expected by Argus to recover before the second half of this year. China's record-high coal inventories need to be drawn down significantly before one can expect a stronger import market there. In the rest of the World, there is not much strength to trace either. Developed economies' imports will be low due to weak manufacturing growth and a shift toward greener types of energy.

Grains

Forecasts are for Brazilian soybean exports to end at record highs in the 2024/25 season. The harvest has progressed a bit slower than usual, however.

The slower-than-usual harvest could negatively impact Corn planting, thus leading to lower exports in the autumn. Along with that, the tariffs that China put on US Soybeans could impact those volumes negatively.

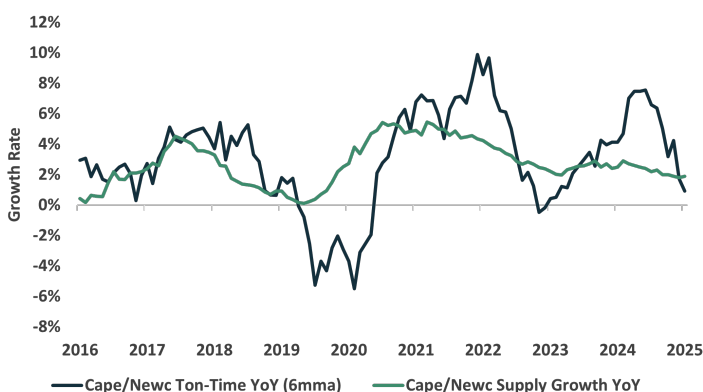
Minor Bulks

Breakbulk: 5.6%
Fertilizers: 6.1%
Steels: 20.3%
Other Minor Bulks: 13.0%
Bauxite: +46.2%
Total Minor Bulks: 13.2%

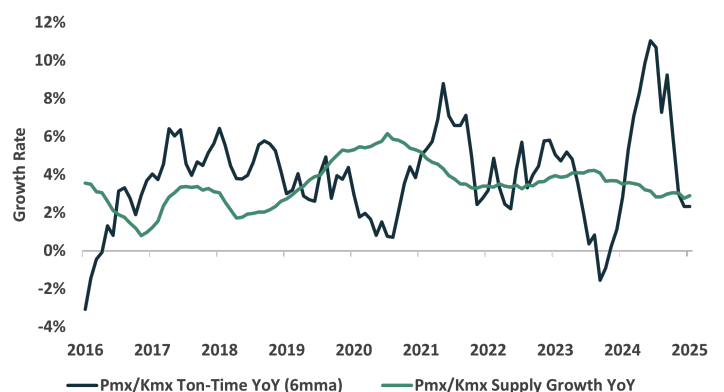
Minor bulk shipment growth ex Bauxite is likely to be lower than last year as a weak macroeconomic backdrop weighs on demand.

This year, we expect total supply growth of around 3.0% and total shipment volume growth of around 0.0%.

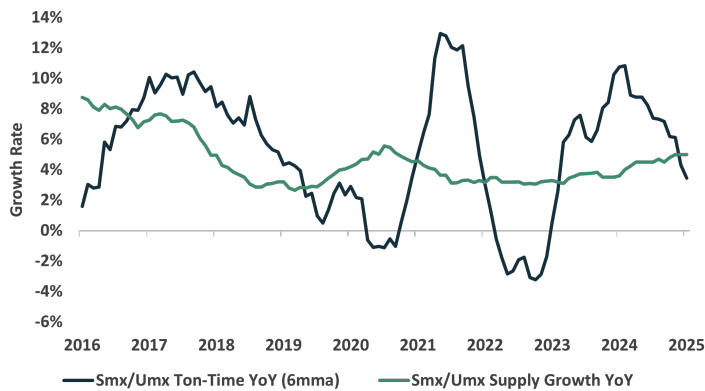
Capesize/Newcastlemax Ton-Time Growth vs Supply Growth



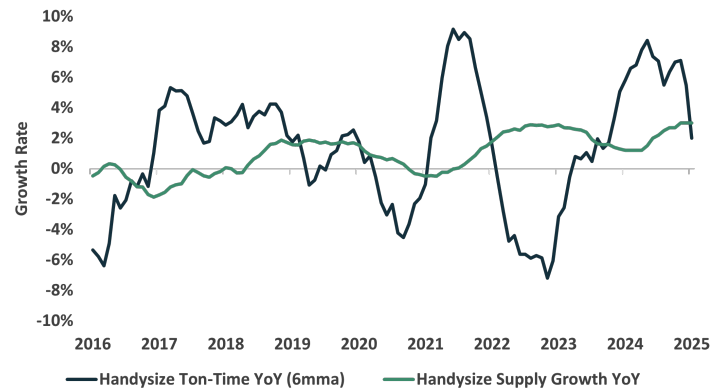
Panamax/Kamsarmax Ton-Time Growth vs Supply Growth



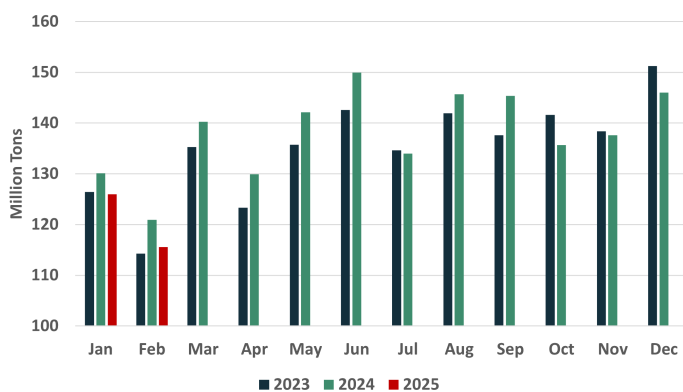
Supramax/Ultramax Ton-Time Growth vs Supply Growth



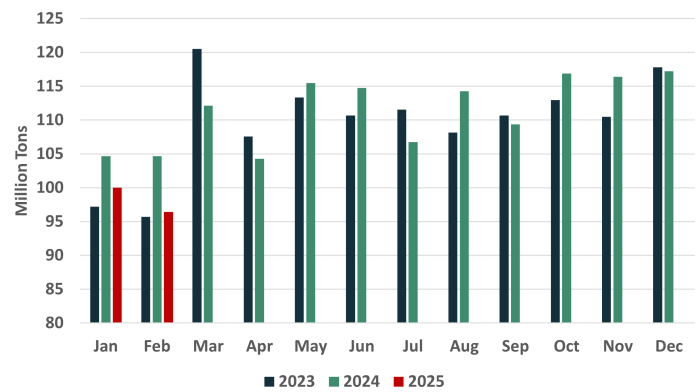
Handysize Ton-Time Growth vs Supply Growth



Global Iron Ore Loadings, 2023 2024 and 2025 YTD



Global Coal Loadings, 2023 2024 and 2025 YTD



MACRO ECONOMIC OUTLOOK

The charts shown below still paints a bearish picture for fundamentals this year.

Top left chart:

Comment from our late January report:

China's credit growth is a smoothed average change of the monthly total social financing numbers, a figure that includes all financing to the "real economy" i.e. excluding interbank financing. This curve is shifted 12 months forward, as it leads the Baltic Dry Index year on year by roughly that time period. Through the displayed period, there was only one major deviation between the two series, in the middle of 2019. As the credit growth rate continued to fall through the second half of last year, it suggests that the Baltic Dry Index year on year change will remain negative through 2025. The monthly total social financing numbers for January will be released in a few weeks, and will be a very important indication as to whether all the recent stimulus announcements from Chinese officials is starting to translate into increased credit growth.

Monthly total social financing came in at all-time highs in January, which shows that the stimulus measures have started to work. However, high monthly financing needs to continue in the coming months for credit growth to turn upwards. In turn, that would suggest a more positive dry bulk market outlook for 2026.

Top right chart:

Comment from our late January report:

The China Economic Growth Index is an average of key economic data, which, in our opinion, gives a more accurate measure of China's growth rates than GDP. The average growth rate of that index since 2020 has been a mere 1.2%, and last year, the index was negative at -2.1%. These figures are far below the reported GDP numbers.

The index has correlated tightly with total dry bulk shipment volume growth (all countries and commodities) over the last 15 years. However, last year there was a deviation, as inventory building in China drove import demand rather than underlying fundamentals. This may be a cause for concern as the last year there was such a deviation was in 2014.

The macro economic data releases needed to construct the index have yet to be released for January and February. China's import growth has started the year on a negative note, with both coal and iron ore imports lower than the same period last year.

Middle left chart:

The USDCNY year-on-year change continues to predict China's dry bulk import growth with high accuracy. The USDCNY suggests China's import growth will be around 0% this year.

Middle right chart:

The energy price leads have lost correlation with the Baltic Dry Index year-on-year change the last months. Going forward, energy prices suggest macro economic weakness until a potential bottom in Q2 2026.

Bottom left chart:

Comment from our late January report:

The chart shows total iron ore inventories in Chinese ports and at Chinese steel mills, divided by daily imported iron ore consumption. This ratio is now at the highest point since early 2022. Either consumption must rise or inventories have to fall for the ratio to go to a level where one could turn bullish on market fundamentals.

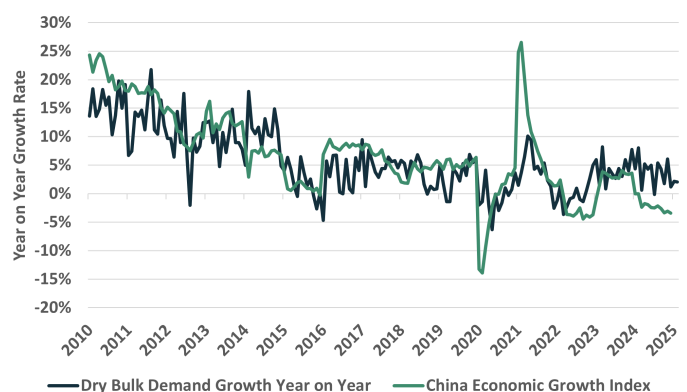
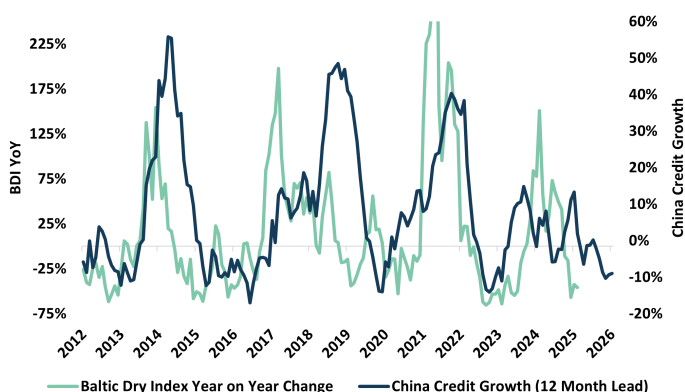
Since then, the inventory/consumption ratio has improved, as consumption has risen and inventories have been drawn. Further improvement is needed for the outlook to turn bullish, in our opinion.

Bottom right chart:

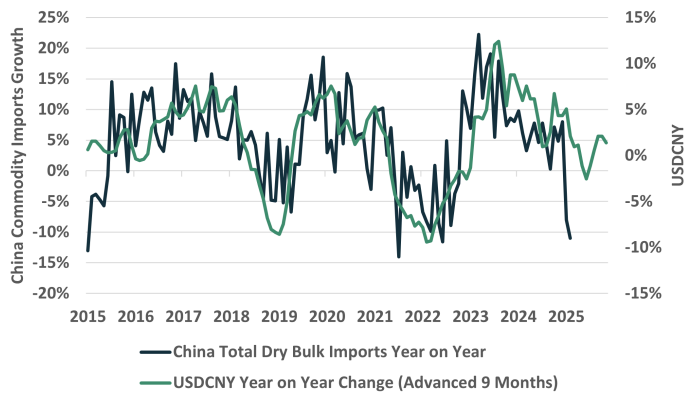
The chart shows the US dollar index year-on-year change vs dry bulk shipment volume growth. A rising US dollar is negative for dry bulk demand growth, as it reflects that global financial conditions are tighter, and it makes imports more expensive for several countries. A rising US dollar also makes it harder for countries to loosen their monetary policy.

Baltic Dry Index Year on Year Change vs China Credit Growth (12 Months Lead)

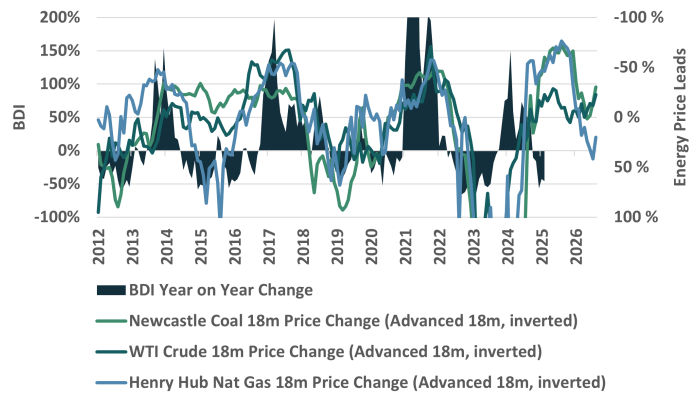
China Economic Growth Index vs Global Dry Bulk Shipments Growth



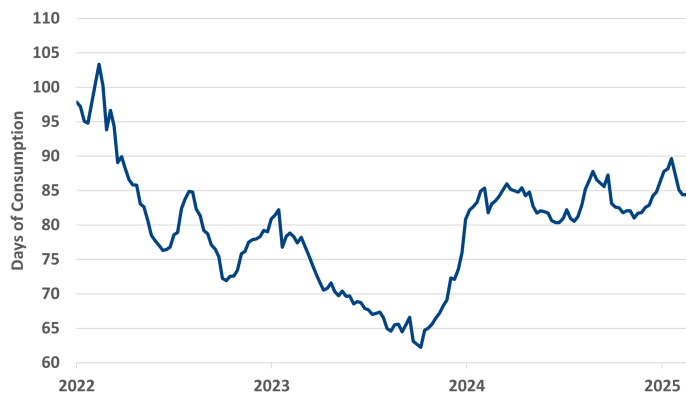
USDCNY YoY, 9 Months Lead vs China Bulk Commodity Imports YoY



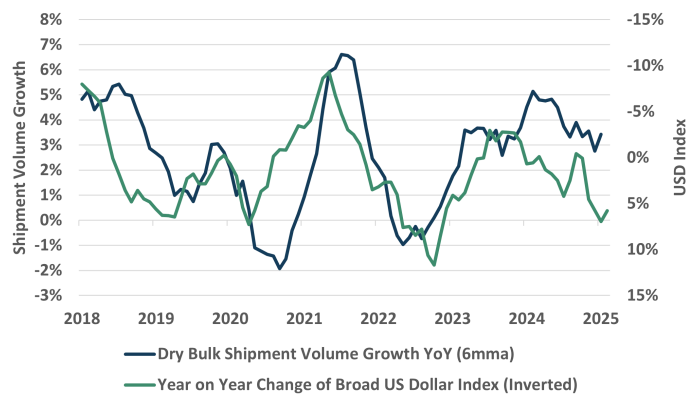
Gas, Oil and Coal Price Change Lead vs BDI Year on Year Change



China Ports and Steel Mills' Iron Ore Inventories Divided by Daily Imported Iron Ore Consumption



Broad US Dollar Index Year on Year vs Dry Bulk Shipment Volume Growth



FRED, OECD, S&P Global, MySteel, AxsMarine, Baltic Exchange



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